

Economic History II

Financial assets and the English Revolution

FGV EPGE

The rise of Europe (Acemoglu, Johnson and Robinson, 2005)

- Question: why does Western Europe pull ahead after 1500?
- Their answer: the rise of Europe is largely the rise of the **Atlantic traders**.
- Atlantic traders: Britain, France, the Netherlands, Portugal, Spain.
- Atlantic trade: the New World, Africa, Asia. Colonialism and slavery included.
- AJR call the period the “First Great Divergence”.

Trade plus institutions

- Trade profits alone: too small to account for the growth.
- The channel is indirect. Atlantic trade **strengthened merchant groups** outside the Crown's circle.
- Where “initial” institutions (those established before 1500) already placed checks on the monarchy, Britain and the Netherlands, merchants won protection of property rights. Growth followed.
- Where the monarchy controlled trade itself, Spain and Portugal, the gains accrued to the Crown. Little institutional change.

The Rise of Europe: Atlantic Trade, Institutional Change, and Economic Growth

By DARON ACEMOGLU, SIMON JOHNSON, AND JAMES ROBINSON*

The rise of Western Europe after 1500 is due largely to growth in countries with access to the Atlantic Ocean and with substantial trade with the New World, Africa, and Asia via the Atlantic. This trade and the associated colonialism affected Europe not only directly, but also indirectly by inducing institutional change. Where “initial” political institutions (those established before 1500) placed significant checks on the monarchy, the growth of Atlantic trade strengthened merchant groups by constraining the power of the monarchy, and helped merchants obtain changes in institutions to protect property rights. These changes were central to subsequent economic growth. (JEL F10, N13, O10, P10)

How they test it

- Urbanization and income across European countries, 1300 to 1850.
- Atlantic traders diverge only *after* 1500.
- Atlantic ports grow; Mediterranean ports do not. Points to the trade, not the coastline.
- Growth concentrated where the monarchy was already checked.

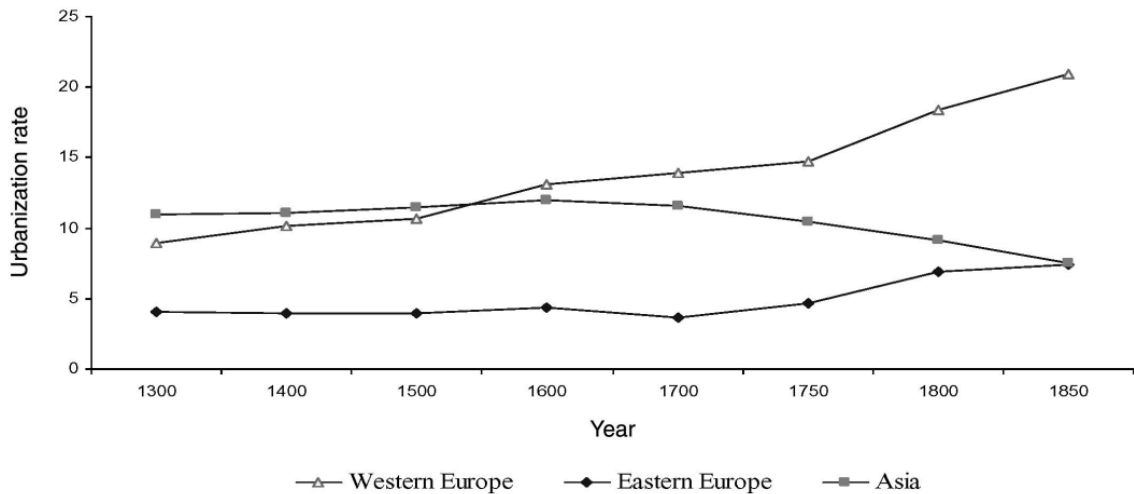


FIGURE 1A. WESTERN EUROPE, EASTERN EUROPE, AND ASIA: URBANIZATION RATES, WEIGHTED BY POPULATION, 1300–1850

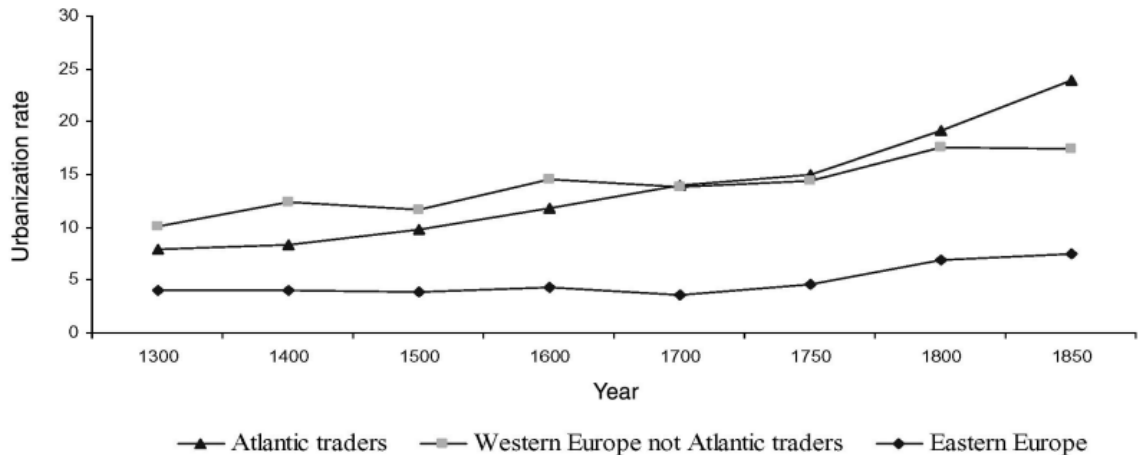


FIGURE 1B. ATLANTIC TRADERS, WEST EUROPEAN COUNTRIES NOT ATLANTIC TRADERS, AND EASTERN EUROPE:
URBANIZATION RATES, WEIGHTED BY POPULATION, 1300–1850

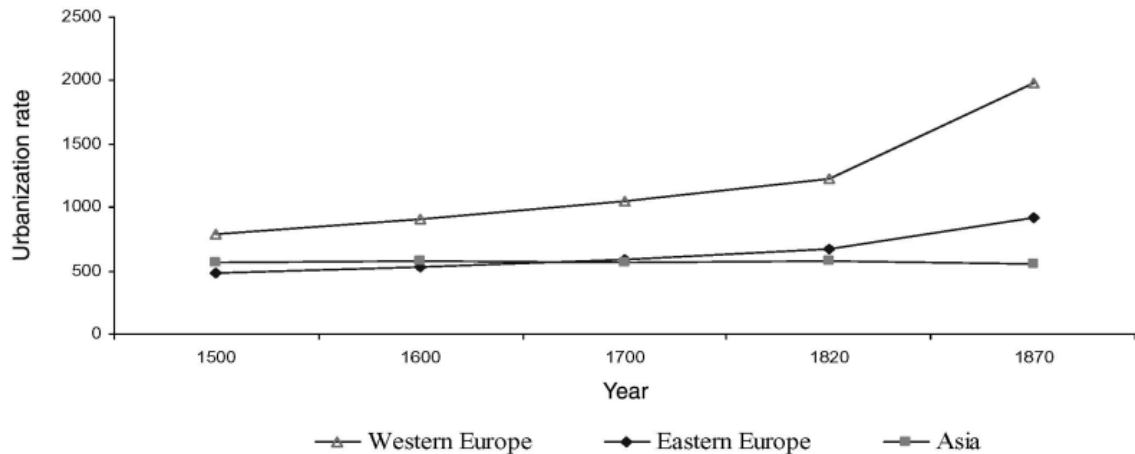


FIGURE 2A. WESTERN EUROPE, EASTERN EUROPE, AND ASIA: GDP PER CAPITA, WEIGHTED BY POPULATION, 1500–1870

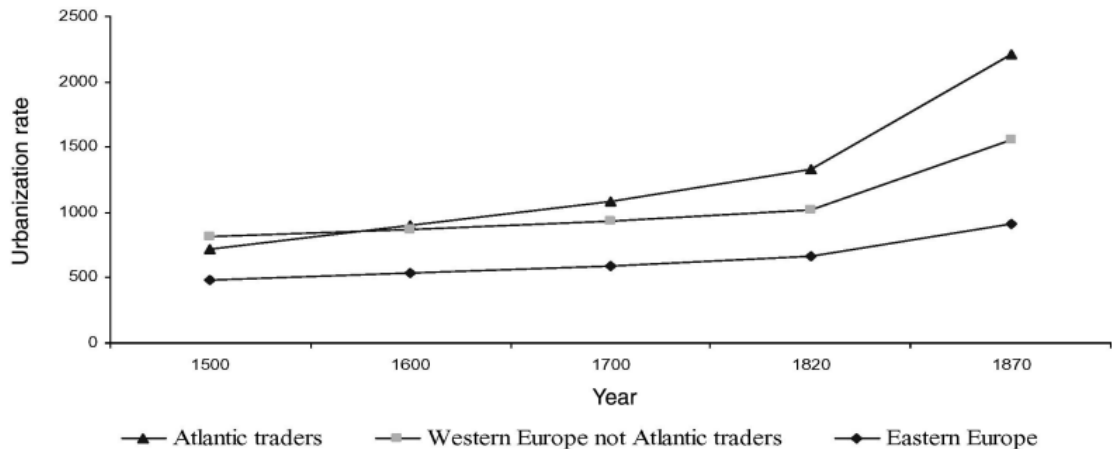


FIGURE 2B. ATLANTIC TRADERS, WEST EUROPEAN COUNTRIES NOT ATLANTIC TRADERS, AND EASTERN EUROPE: GDP PER CAPITA, WEIGHTED BY POPULATION, 1500–1870

TABLE 1—DESCRIPTIVE STATISTICS

	Whole sample, unweighted	Whole sample, weighted	Atlantic Western Europe	Non-Atlantic Western Europe	Eastern Europe	Asia
			Weighted by population			
Urbanization in 1300	6.6 (5.2)	9.9 (3.2)	8.0 (2.8)	10.0 (6.1)	4.1 (3.3)	11.0 (0.7)
Urbanization in 1400	7.6 (9.5)	10.3 (3.6)	8.5 (2.4)	12.1 (10.0)	3.9 (1.5)	11.1 (0.5)
Urbanization in 1500	8.3 (7.6)	10.6 (3.4)	10.1 (5.3)	11.4 (6.8)	4.0 (1.8)	11.5 (0.7)
Urbanization in 1600	9.6 (7.6)	11.7 (4.0)	13.6 (7.6)	14.0 (8.8)	4.4 (2.7)	12.0 (0.7)
Urbanization in 1700	10.7 (8.5)	11.2 (4.1)	14.5 (6.8)	13.1 (8.1)	3.7 (2.2)	11.6 (0.7)
Urbanization in 1800	14.1 (9.1)	10.3 (4.9)	19.8 (7.9)	16.9 (7.5)	7.0 (3.3)	8.9 (1.4)
GDP per capita in 1500	627.54 (159.3)	608.3 (118.0)	721.46 (31.1)	850.73 (217.1)	506.94 (78.2)	575.0 (35.4)
GDP per capita in 1600	740.73 (225.6)	630.5 (144.2)	916.31 (149.3)	908.22 (167.3)	578.29 (112.3)	576.8 (35.3)
GDP per capita in 1700	862.12 (348.4)	622.2 (208.1)	1079.21 (321.4)	980.82 (128.2)	636.0 (136.1)	574.2 (35.3)
GDP per capita in 1820	988.00 (373.6)	691.7 (264.5)	1321.95 (348.7)	1095.40 (125.3)	719.5 (174.9)	575.5 (45.7)
Constraint on executive in 1500	1.67 (0.76)	1.73 (0.79)	1.75 (0.56)	1.99 (0.99)	1.46 (0.79)	
Constraint on executive in 1600	1.67 (1.01)	1.53 (0.84)	1.62 (1.24)	1.54 (0.59)	1.45 (0.79)	
Constraint on executive in 1700	1.83 (1.31)	1.52 (1.17)	1.83 (1.76)	1.41 (0.94)	1.30 (0.76)	
Constraint on executive in 1800	2.25 (1.82)	2.18 (1.83)	4.00 (1.79)	1.90 (1.78)	1.00 (0.00)	
Atlantic coastline-to-area	0.0057 (0.0117)	0.0014 (0.0065)	0.0118 (0.0181)	0.0026 (0.0052)	0.00	0.00

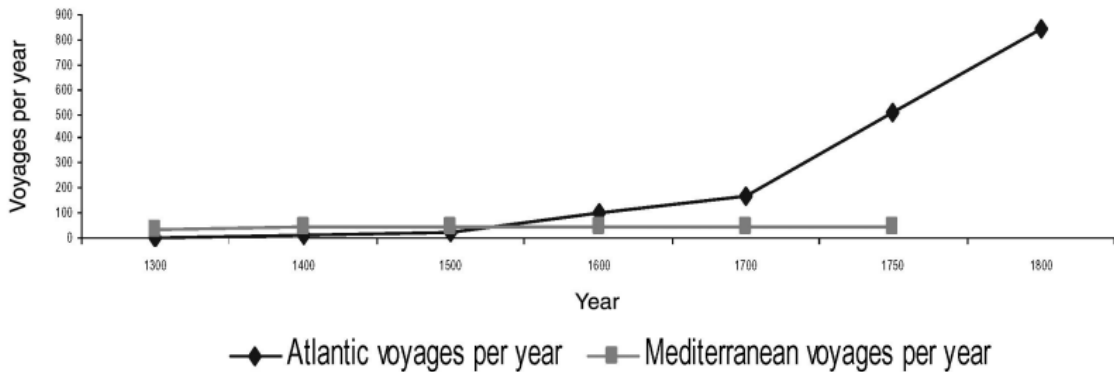


FIGURE 3. VOLUME OF ATLANTIC AND MEDITERRANEAN TRADE (VOYAGE EQUIVALENTS PER YEAR), 1300–1800

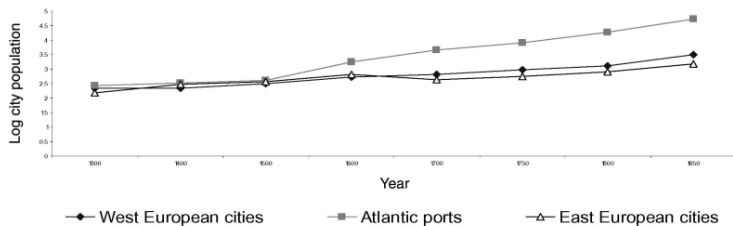


FIGURE 4A. AVERAGE OF LOG CITY POPULATION IN ATLANTIC PORTS, WEST EUROPEAN CITIES THAT ARE NOT ATLANTIC PORTS, AND EASTERN EUROPE (BALANCED PANEL), 1300–1850

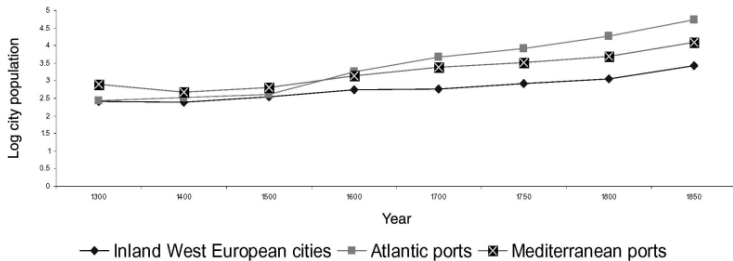


FIGURE 4B. AVERAGE OF LOG CITY POPULATION IN ATLANTIC PORTS, MEDITERRANEAN PORTS, AND WEST EUROPEAN CITIES THAT ARE NOT PORTS (BALANCED PANEL), 1300–1850

Financial assets and political attitudes

Saumitra Jha (2015, QJE)

England before the Long Parliament

- Before 1640, England **approximated a dictatorship**.
- The Crown called and dismissed Parliaments at will.
- 1629 to 1640: no Parliament met at all.
- The Long Parliament (1640 to 1660) won the right to convene without royal approval, to control state finance, and to direct foreign policy and war.
- Schama: the *“fountainhead of revolutions”*.

The puzzle

- What created a novel, broad and ultimately successful coalition for **parliamentary supremacy**?
- The coalition spanned groups with initially divergent interests.
- Out of it: representative government, and later the financial revolution.

Three economic explanations

- **North and Weingast (1989)**: a coalition forms to defend property rights against Stuart executive greed. Removing kings makes the promise not to expropriate credible.
- **Marx**: the “First Bourgeois Revolution”. New commercial classes protect newly acquired wealth.
- **AJR (2005)**: that wealth came from Atlantic trade. Tawney, Moore, Rajan and Zingales: from gentry enriched by the dissolution of the monasteries, 1536 to 1541.
- Common to all three: a constituency of domestic wealth holders demanding better protection of property.

Constitutions and Commitment: The Evolution of Institutions Governing Public Choice in Seventeenth-Century England

DOUGLASS C. NORTH AND BARRY R. WEINGAST

The article studies the evolution of the constitutional arrangements in seventeenth-century England following the Glorious Revolution of 1688. It focuses on the relationship between institutions and the behavior of the government and interprets the institutional changes on the basis of the goals of the winners—secure property rights, protection of their wealth, and the elimination of confiscatory government. We argue that the new institutions allowed the government to commit credibly to upholding property rights. Their success was remarkable, as the evidence from capital markets shows.

TABLE 2
FORCED LOANS BY THE EARLY STUARTS, 1603-1625

Year	Amount	Rate (percent per year)	Repayment
1604/5	£111,891	10%	£20,362 unpaid as of Dec. 1609
1611/2	116,381	10	£112,000 unpaid as of Jul. 1616
1617 ^a	96,466	10 ^b	Unpaid until 1628
1625 ^c	60,000	8	Unpaid until 1628

TABLE 3
GROWTH OF GOVERNMENT DEBT, 1618–1740
(£ million)

Year	Governmental Expenditure ¹	Debt ²	Prices ³ (1701 = 100)
Stuart England			
1618 ⁴	£0.5	£0.8	
mid-1630s ⁵	1.0	1.0	
1680 ⁶	1.4		113
1688 ⁶	1.8	1.0 ⁷	99
Post Glorious Revolution			
1695	6.2	8.4	116
1697	7.9	16.7	122
1700	3.2	14.2	115
1710	9.8	21.4	122
1714	6.2	36.2	103
1720	6.0	54.0	102
1730	5.6	51.4	95
1740	6.2	47.4	100
1750	7.2	78.0	95

Note: Because these figures are obtained from a variety of sources, they are intended solely to provide an indication of underlying trends. Figures for expenditures and debt after the Glorious Revolution are most reliable.

TABLE 4
GOVERNMENT LONG-TERM BORROWING: INTEREST RATES, 1693-1739
(selected loans)

Date ^a	Amount	Interest	How Funded
Jan 1693	£723,394	14.0%	Additional excise
Mar 1694	1,000,000	14.0	Duties on imports
Mar 1694	1,200,000	8.0	Additional customs and duties
Apr 1697	1,400,000	6.3	Excise and duties
Jul 1698	2,000,000	8.0	Additional excise duties
Mar 1707	1,155,000	6.25	Surplus from funds of five loans from 1690s; duties
Jul 1721	500,000	5.0	Hereditary revenue of Crown
Mar 1728	1,750,000	4.0	Coal duties
May 1731	800,000	3.0	Duties
Jun 1739	300,000	3.0	Sinking fund

^a Date of royal assent to loan act.

Source: P. G. M. Dickson, *The Financial Revolution in England* (New York, 1967), tables 2, 3, and 22.

But domestic property was already secure

- Domestic property rights were already relatively secure for the wealthy in seventeenth-century England.
- Little change thereafter.
- So why risk civil war for rights that were not under threat?
- Jha asks instead: which **endowments** predicted an MP's choice to rebel?

The rise of the joint stock company

- 1552: the first English joint stock company, later the Russia Company.
- Explicit purpose: let merchants share the risk of finding a sea route to the Indies **with nonmerchants**.
- Dividends promised in profits and in land. Each £12.50 Virginia Company share also yielded 100 acres.
- September 1580: the *Pelican*, sole survivor of five ships, moors at Plymouth. Drake: circumnavigation, the Spice Islands, a raid on Spanish treasure.

“...at present there is hardly an Englishman who is not talking of undertaking the voyage, so encouraged are they by Drake’s return . . . everybody wants a share in the [next] expedition.”

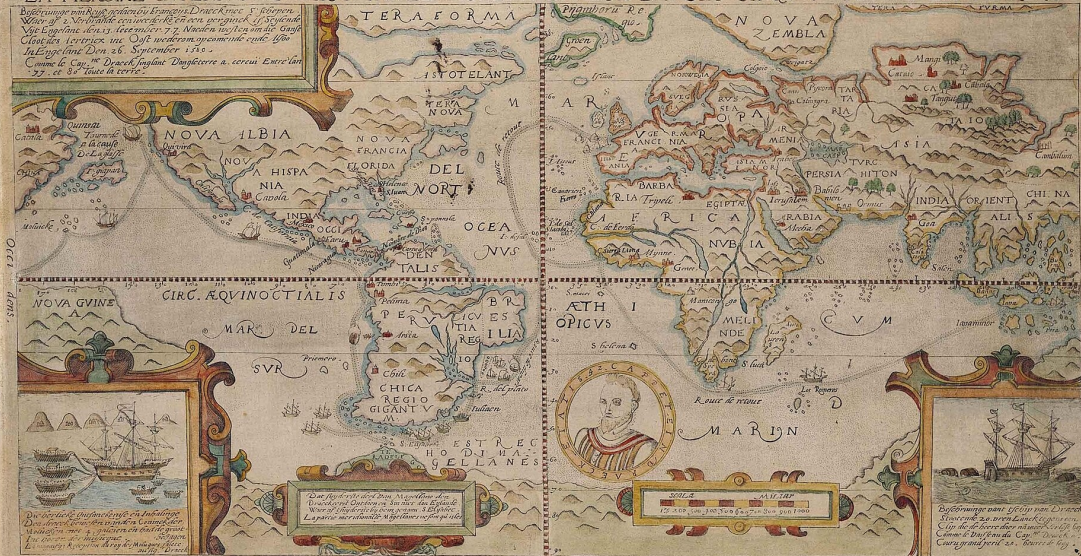
Bernardino de Mendoza, Spanish ambassador, urging Philip II to destroy English and French ships entering the Pacific (Rabb 1967)

LA HEROIKE INTERPRINSE EAICT PAR LE SIGNEVR DRAECK DAVOIR CIRQVIT TOVTE LA TERRE

Beschryvinge van Ryck notarij by Franciscus Draeck Knecht 5. febreren
 1567. al 2. Verdrachte een wechderke en een wechderke 15. Seconde
 Vte Engelant den 13. December 7. 7. Nacten wisten om die Gans
 Groot des Ierterix ine Oost wederom op eenen ende. Woe
 In Engelant Den 26. September 1560.

Comme le Cap. 1^{re} Draeck singant Droghe terre a. cercui Entre l'an
 77. et 80. Toute la terre.

SOMMAIRE.



Meridies.

Valparaíso and Callao [\[edit \]](#)

On 5 December he viewed the small Spanish settlement of [Valparaíso](#), a coastal town with a number of houses and a church. He made an assault on the town and plundered what he could find, such as valuable art treasures and the church silver. Its harbour contained a ship which proved the most valuable as it was full of [Chilean wine](#), 25,000 pesos in gold and charts of the South American coast.^[38] Drake's sack of Valparaíso gave origin to the legend about [Cueva del Pirata](#).^[39]

Drake left and carried on northwards up the coast. He sailed into the remote Salada Bay near [Copiapó](#) where he was able to [careen](#) his ship and assembled the *Golden Hind's* pinnace. Whilst here Drake attempted to wait for the *Elizabeth* to appear which would've given sufficient strength to attack [Panama](#), the next target. When it became apparent that *Elizabeth* wasn't going to turn up, Drake sailed off once the pinnace had been completed.^[40]



How far investment spread

- 1575 to 1630: more than **6,366 investors**, including 23% of all MPs seated in the period.
- Companies to trade with and colonize Africa, the Levant, the East Indies, Virginia, New England, Latin America.
- No limited liability. Investors faced calls for further funds. General limited liability only in 1856.
- Secondary markets only from the 1660s. Investors were legally and financially locked into the fate of their companies.

Most ventures failed

- Russia Company, 1554 to 1586: no dividends, but continued calls on shareholders for funds.
- 1623: the Dutch destroy the East India Company's **factory at Amboina**. The Crown raises customs on pepper and extracts loans.
- Enthusiasm for overseas investment declines through the 1630s.

The Crown owned the upside

- Foreign trade fell under civil law, administered by the Crown in the **Admiralty courts**, not under common law precedent.
- The Crown granted and revoked charters, imposed customs, created monopolies.
- Overseas customs as a share of Crown revenue: 5.2% in 1552, 52.5% in 1642.
- The monarch, not the investor, was the major beneficiary of expanded overseas trade.

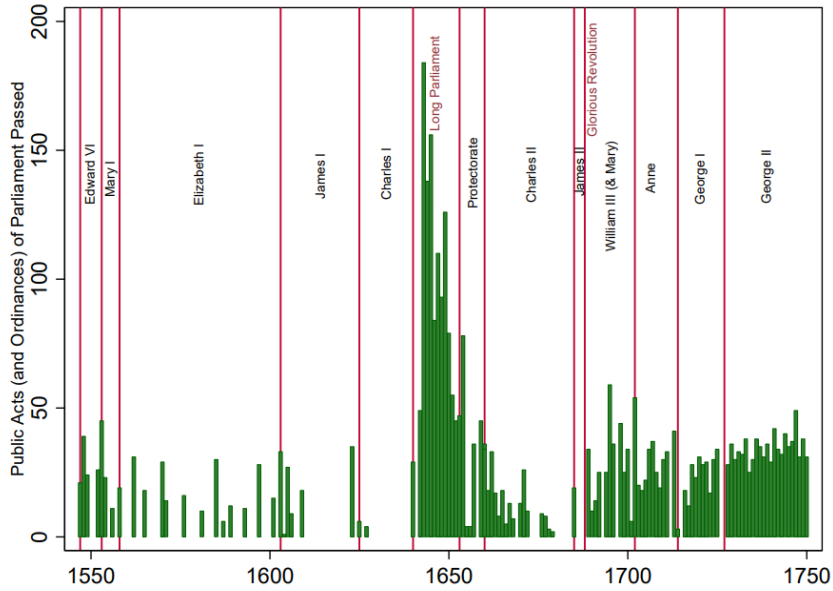


Table 1: **Timeline of Key Financial and Political Events, 1552-1660.**

Year	Financial	Political
1552	First joint stock company: "the mysterie and companie of the Merchants adventurers for the discoverie of regions, dominions, islands and places unknown". Seeks the Indies but goes North; becomes the Russia Company	
1558		Elizabeth I becomes Queen
1580	Drake's returns from circumnavigation	Elizabeth I receives 1/2 share
1585	Drake raids Spanish Atlantic ports; nationwide enthusiasm for joint stock. Privateering.	War with Spain
1592	Levant Company chartered	
1599	East India Company chartered	
1603		Elizabeth I dies, James I becomes King. War with Spain ends.
1606	Virginia Company chartered	
1611		Great Contract: Attempt to exchange customs revenue for settled parliamentary taxes fails.
1614		Added Parliament: James I lives without parliamentary taxes
1623	Dutch destroy East India factory in Amboina, East Indies. East India shipping falls subsequently. Dorchester New England Co established.	
1624	Virginia Company charter revoked by Crown	'Happy' Parliament: Charles shows himself willing to exchange prerogative rights over foreign policy for taxation.
1625	Privateering ventures	Charles I becomes King. War with Spain and France. Charles refused tunnage and poundage (the oldest customs on wine and wool within Parliament's gift). Collects them illegally.

To civil war

- Bargaining over customs founders. The king is counseled not to surrender *“the fairest flowers for profit and command in all his garland”*.
- November 1641: investor-reformers pen the **Grand Remonstrance**, a manifesto for parliamentary authority over foreign policy, finance and the armed forces.
- January 1642: the king illegally enters the Commons to arrest the **Five Members**.
- June 1642: he raises his standard.

Not a war of religion?

- Reformers wanted a “profitable” war in the Spanish West Indies, not a crusade against Catholic Spain.
- Religion as **useful propaganda**: a banner that spans divergent material interests.

“the very Arcanum of pretending religion in all wars is that something may be found out in which all men may have interest. In this the groom has as much interest as the lord. Were it for land, one has one thousand acres and the other but one; he would not venture so far as he that has a thousand. But religion is equal to both. Had all men land alike, then . . . all men would say they fought for land.”

John Selden, MP, Long Parliament (Hill 1961)

The data

- **1,842 biographies** of political elites, including the paternal lineages of 528 members of the Long Parliament.
- For each MP: economic and social endowments, and the choice between Crown and Parliament.
- First question: *who rebelled?*

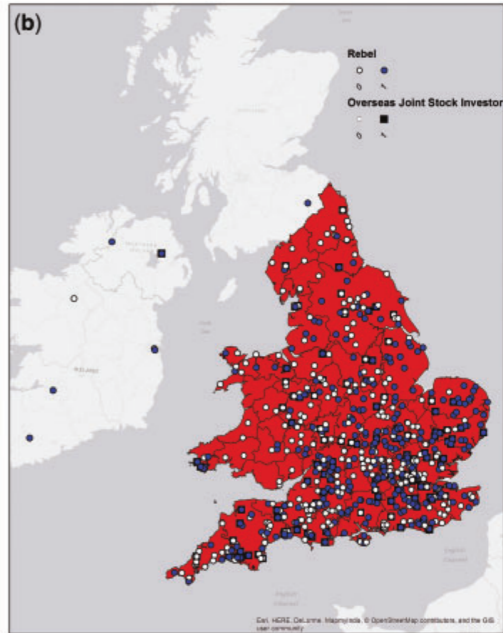
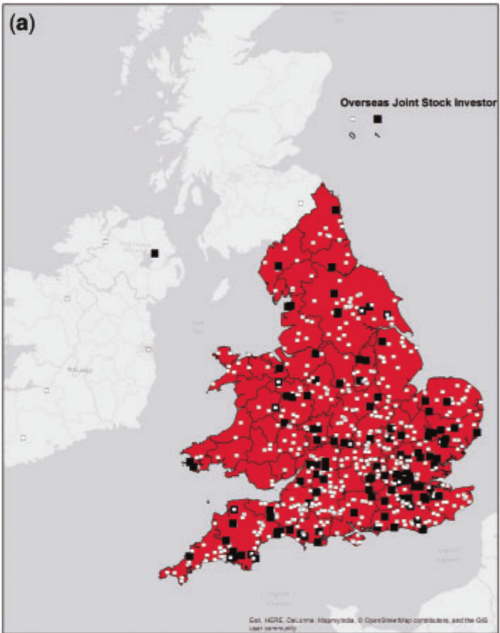


Figure 1: investment and rebellion

- Each MP placed at his father's address. Left: investors in overseas companies. Right: rebels.
- Both spread across the country, not confined to London or the ports.

Domestic wealth does not predict rebellion

- Endowments subject to **executive discretion**, above all overseas interests, strongly predict rebelling.
- Domestic wealth does not. Being an heir, standing to inherit landed estates, a father with a peerage, a baronetcy or a knighthood: all null.
- These are exactly the endowments the three traditional explanations require.

Why shares aligned interests

- The rights needed to profit overseas belonged to the Crown, and benefited it at investors' expense.
- Holding shares aligned investors with reforms aimed at seizing those rights.
- Above all, shares gave **nonmerchants** the exposure that merchants already had on their own account.

Shareholders and support for reform

- Legislative attainder of the Earl of Strafford, 1641, for having suggested the use of Irish troops to quell mainland protest.
- Defence of London, 1642: **59.3%** of shareholder MPs offered a loan, against 34.0% of the rest.
- Membership of the Rump Parliament of postwar victors, 1648 to 1653.

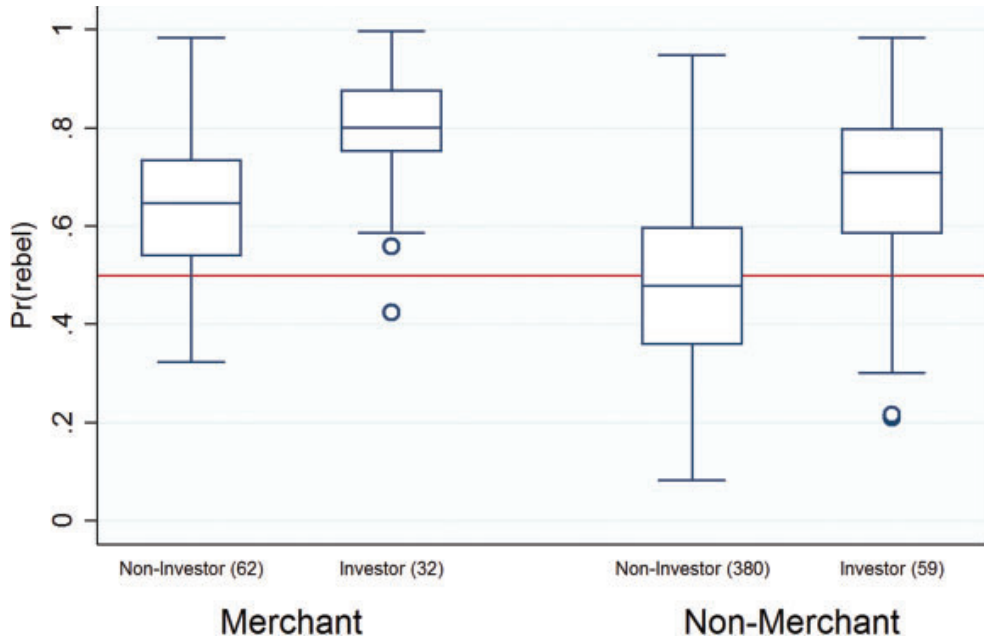


Figure II: shares align the nonmerchants

- Merchants rebel with or without shares: **18 pp** more likely regardless.
- Among nonmerchants, shares shift allegiance.
- The typical nonmerchant without shares leans royalist.

How do we know it was the shares?

The difficulty

- Investors were not drawn at random.
- Selection operates both into holding shares and into retaining them.

First: matching

- Match investor MPs to noninvestor MPs on endowed wealth, location and constituency.
- Measured effect of shareholding on support for parliamentary supremacy: **21.5 pp.**
- Preferred lower bound after matching: around 20 pp.

Second: coming of age at 21

- At 21, and not at 20, a man could sign legally binding contracts, share contracts included.
- Compare MPs who turned 21 in a year an overseas company made an **IPO** with those who came of age within five years either side.
- The comparison includes men already 22 or older at the IPO, who were not legally constrained.
- The timing of majority is a birth date, not a political disposition.

What the timing gives

- Coming of age in an IPO year: **+22.3 pp** probability of investing overseas.
- The same men, decades later: +15.9 pp more likely to support parliamentary supremacy.
- Implied effect among those who invested because of the timing: around 71.2 pp.

Again, only the nonmerchants

- Merchants and nonmerchants both invest more when they come of age in an IPO year.
- Shares change political allegiance only among the nonmerchants.

Alternative explanations

- **Not a wealth shock**: investors were no richer at the time of the war. Investors in unprofitable companies, with less to lose, rebelled *more*.
- **Not risk preferences**: investors in domestic joint stock companies, equally risky but beyond executive reach, did not rebel.
- **Not prior politics**: overseas investors were *more* likely to cultivate court ties, consistent with securing investments through patronage.

The compliant switchers

- **Compliant switchers:** investor MPs who backed parliamentary supremacy but were predicted royalists absent shares.
- They may have included four of the six drafters of the Grand Remonstrance, and all Five Members.
- Far from extremists. More likely to have supported monarchical dictatorship had they not invested.

Conclusion

- A new financial asset shifted political allegiance and consolidated the majority for parliamentary supremacy.
- Refines AJR (2005): Atlantic trade mattered, but England did not become an oligarchy of enriched traders. The Crown extracted many of the gains.
- Shares promised *future* gains to a broad coalition, across merchant and nonmerchant, devout and worldly.
- Shocks to future opportunities, shared through financial assets, can build coalitions for reform.

VALUING PEACE: THE EFFECTS OF FINANCIAL MARKET EXPOSURE ON VOTES AND POLITICAL ATTITUDES

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Can participation in financial markets lead individuals to reevaluate the costs of conflict, change their political attitudes, and even their votes? Prior to the 2015 Israeli elections, we randomly assigned Palestinian and Israeli financial assets to likely voters and incentivized them to actively trade for up to 7 weeks. No political messages or nonfinancial information were included. The treatment systematically shifted vote choices toward parties more supportive of the peace process. This effect is not due to a direct material incentive to vote a particular way. Rather, the treatment reduces opposition to concessions for peace and changes awareness of the broader economic risks of conflict. While participants who were assigned Palestinian assets are more likely to associate their assets' performance with peace, they are less engaged in the experiment. Combined with the superior performance of Israeli stocks during the study period, the ultimate effects of Israeli and Palestinian assets are similar.

KEYWORDS: Conflict, financial markets, field experiment, peace, voting.

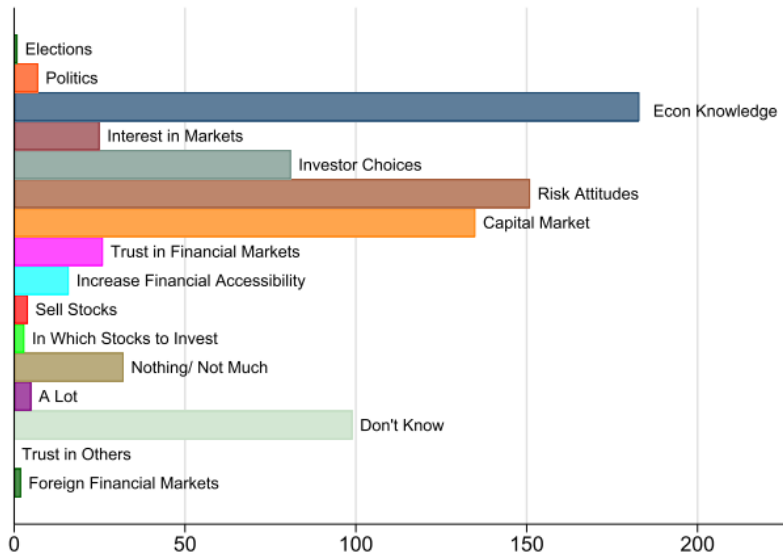
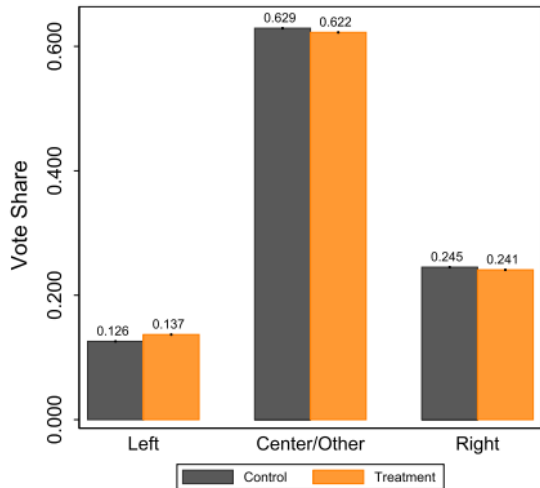


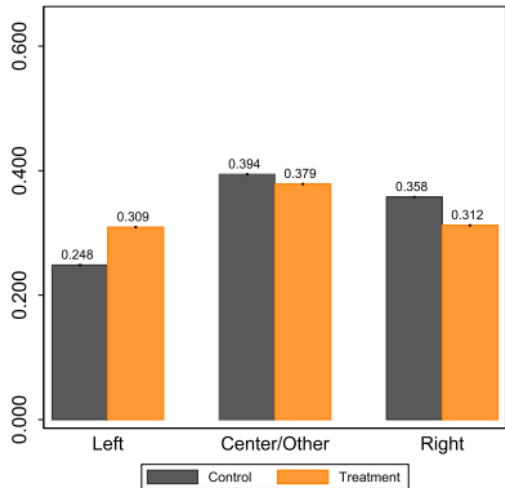
FIGURE 2.—What can the researchers learn from this study?

Panel B

2013 Elections



2015 Elections



N=1311. The 'other' bars include 71 and 17 individuals who voted for other parties in 2013 and 2015, respectively, as well as 1 and 27 individuals who did not vote in 2013 and 2015, respectively.